

Table 72.3 Cumulative Failure Rates

Maximum Price Decline (%)	Bull Market	Bear Market
5 (breakeven)	183 or 15%	17 or 5%
10	241 or 35%	44 or 18%
15	194 or 51%	40 or 30%
20	144 or 63%	45 or 44%
25	119 or 72%	31 or 53%
30	93 or 80%	37 or 64%
35	89 or 87%	28 or 72%
50	116 or 97%	66 or 92%
75	36 or 100%	25 or 100%
Over 75	2 or 100%	1 or 100%

As you scan down the rows, notice how failure rates climb dramatically for small “maximum price declines.” In bull markets, half the patterns will fail to see price drop 15% on the way to the ultimate low.

Table 72.4 shows breakout-related statistics.

Breakout direction. The high percentage rate for downward breakouts means the pattern breaks out upward only 10% of the time. That's small, but it's not zero. So if you want to short a stock showing an extended V-top, then I'd wait for confirmation: price to *close* below the bottom of the extension before shorting the stock. It's fine if you trigger on the low price and not the close, just be sure to use a stop to protect your position.

Extension length. For the extended V-top, the extension's length lasts an average of 15 days (calendar). By definition, the extension ends a day before the breakout.

Yearly position, performance. I sorted the breakout price into where it appears in the yearly high–low price range and mapped performance for the three ranges (low, middle, or high).

For bull markets, the best performance comes from patterns with breakouts within a third of the yearly low. That makes sense. You should short stocks making new lows, not making new highs.